MIXED SENTIMENT

GVA at Basic Price by Economic Activity (%)

SECTORS	Q1FY24	Q1FY25
Agriculture	3.7	2
Manufacturing	5	7
Electricity, gas, water supply & other utility services	3.2	10.4
Construction	8.6	10.5
Trade, hotels, transport, communication & services related to broadcasting	9.7	5.7

Source: NSO, SBI Research. GVA represents GDP net of indirect taxes and subsidies



FARM FARE
A pumpkin farmer loading his harvest onto a tractor in Mayong village, Assam

AFP

downplay the blip, saying that the slower GDP growth rate was "well within the consensus anticipation". The code of conduct in place during the general election through April-June had "brought down capital spending. That is reflected in the government final consumption expenditure (representing government capex)".

On the positive side, manufacturing did better than expected at 7 per cent, compared to 5 per cent in the same quarter a year ago. This could well be because of better demand seen in the quarter.

SECTOR VECTORS

- **Agriculture growth suffered due to the prolonged heat wave this year in several parts of the country**
- **Services did poorly, but only in comparison to the higher numbers riding on post-Covid recovery**
- **But manufacturing did better than expected; consumption, too, is up**

Private consumption grew at a higher clip–7.4 per cent in Q1FY25 compared to 5.5 per cent in the same period a year ago.

Higher consumption is good news, as it can help trigger more investment from private individuals. Growth in capital formation (or investment), too, was high at 7.5 per cent, driven mainly by industry and housing. Meanwhile, electricity growth at 10.4 per cent was on expected lines as demand had grown. Construction growth at 10.5 per cent was mainly led by housing, since government capex was subdued. This is expected to pick up in the coming quarters.

The tapering numbers in Q1 have not dampened sentiment on future growth, as experts adhere to the possibility of a 7-plus per cent growth path. The pick-up in consumption, and steady growth in capital formation due to housing and private investment are encouraging signs. "With government (spending) coming in a big way post the election, there will be acceleration," says a Bank of Baroda research note. A good monsoon should help retain the buoyancy in demand.

"The expenditure side or the general demand shows a largely positive picture, with all heads except valuables showing positive growth in Q1FY25," Soumya Kanti Ghosh, group chief economic advisor with the State Bank of India (SBI), in a research note. A boost in consumption should foster some optimism in the days ahead, and coupled with the impending festive season sales, should augur well for the economy in the coming months. It's the external factors that could play spoilsport, like an escalation of war in the Middle East, which could drive up crude oil prices and widen India's current account deficit, its imports exceeding exports. ■